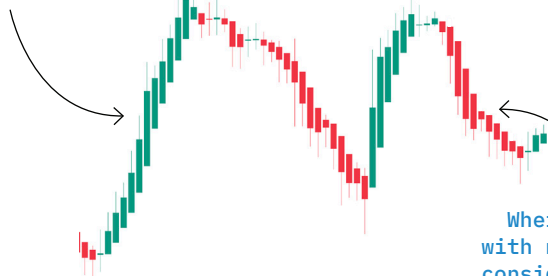


Not long ago when I was introduced with scalping, I tried and tested few technical indicators to see what was the winning rate and how much was the drawdown. Since these are discretionary trading strategy, manual back-testing and having data points become a demanding task. Therefore, the market observation is important. I switched to Heiken Ashi candlestick pattern: a candlestick pattern that traders use to skim out the noise from the chart.

A Heiken Ashi candlestick with no lower body is a bullish candle



Whereas, a candle with no upper body is considered as bearish candles.

You can find Heiken Ashi candlestick pattern on any charting software. Along with Heiken Ashi candlestick pattern, I used a combination of Parabolic SAR and RSI.

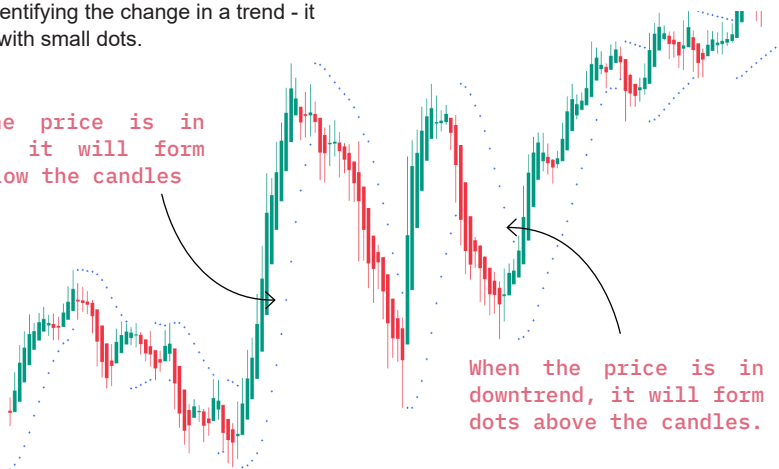
SAR 0.02 0.02 0.2



RSI 14 close SMA 14 2

Parabolic SAR is a technical indicator that helps in identifying the change in a trend - it is formed with small dots.

When the price is in uptrend, it will form dots below the candles



When the price is in downtrend, it will form dots above the candles.